# CLOSING STATEMENT

Osprey Student Living | Salt Lake City, UT

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|---|---|
| **Property** | Osprey Student Living |
| **Settlement Date** | February 4, 2018 |
| **Buyer** | Vireo Income Properties |
| **Seller** | Brandt Ridge Properties |
| **Sale Price** | $72,500,000 |

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $72,500,000 | | | |
| Earnest money deposit | | $628,910 | $628,910 | |
| Real estate tax proration | $497,438 | | | $497,438 |
| Rent proration | | | $682,482 | |
| Security deposits assumed | $589,387 | $589,387 | | |
| Prepaid rents | | | $27,594 | $27,594 |
| Owner's title policy premium | $671,875 | | | |
| Lender's title policy premium | | $645,962 | $645,962 | |
| Escrow fee | $315,725 | | | $315,725 |
| Recording fees | | | $147,667 | |
| Transfer tax | $665,667 | $665,667 | | |
| Survey | | | $427,251 | $427,251 |
| Legal fees - Buyer | $339,416 | | | |
| Legal fees - Seller | | $323,132 | $323,132 | |
| Broker commission | $486,128 | | | $486,128 |
| Loan origination fee | | | $86,797 | |
| Lender legal | $462,105 | $462,105 | | |
| Appraisal fee | | | $437,598 | $437,598 |
| Environmental report | $694,272 | | | |
| Property condition report | | $438,539 | $438,539 | |
| Tax escrow deposit | $336,485 | | | $336,485 |
| Insurance escrow deposit | | | $406,246 | |
| Replacement reserve deposit | $227,022 | $227,022 | | |
| Utility deposits | | | $135,801 | $135,801 |
| Assumed vendor contracts credit | $291,135 | | | |

Report generated 02/04/2018. Figures are unaudited and subject to change.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Legal fees - Buyer | $72,500,000 | | | |
| Legal fees - Seller | | $244,811 | $244,811 | |
| Broker commission | $258,534 | | | $258,534 |
| Loan origination fee | | | $483,087 | |
| Lender legal | $80,584 | $80,584 | | |
| Appraisal fee | | | $326,506 | $326,506 |
| Environmental report | $593,090 | | | |
| Property condition report | | $421,453 | $421,453 | |
| Tax escrow deposit | $202,910 | | | $202,910 |
| Insurance escrow deposit | | | $560,260 | |
| Replacement reserve deposit | $718,597 | $718,597 | | |
| Utility deposits | | | $258,711 | $258,711 |
| Assumed vendor contracts credit | $543,720 | | | |
| Tenant improvement credit | | $708,212 | $708,212 | |
| Courier / wire fees | $102,284 | | | $102,284 |
| Municipal certificates | | | $632,518 | |
| Purchase price | $19,475 | $19,475 | | |
| Earnest money deposit | | | $683,465 | $683,465 |
| Real estate tax proration | $80,475 | | | |
| Rent proration | | $295,050 | $295,050 | |
| Security deposits assumed | $91,675 | | | $91,675 |
| Prepaid rents | | | $185,637 | |
| Owner's title policy premium | $264,001 | $264,001 | | |
| Lender's title policy premium | | | $420,933 | $420,933 |
| Escrow fee | $403,447 | | | |
| Recording fees | | $15,171 | $15,171 | |
| Transfer tax | $686,618 | | | $686,618 |
| Survey | | | $112,077 | |

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## Operating Performance

Operating expenses totaled $430,000 or approximately 31.23 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.86% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $371,000 or approximately 16.40 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $245,000, representing a 13.0% increase over the prior year. Pre-leasing for the coming academic year stands at 92.9% with rental rates per bed averaging $1,008.

## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $355,000 or approximately 18.44 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Effective gross income for the trailing period was $63,000, representing a 13.4% increase over the prior year.

Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $121,000 or approximately 6.84 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

## Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $11,000, representing a 13.9% increase over the prior year. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

Debt service coverage ratio was 5.45x on a trailing basis against a covenant minimum of 1.20x. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $76,000 or approximately 10.41 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Assumed vendor contracts credit | $72,500,000 | | | |
| Tenant improvement credit | | $658,255 | $658,255 | |
| Courier / wire fees | $532,113 | | | $532,113 |
| Municipal certificates | | | $162,857 | |
| Purchase price | $429,749 | $429,749 | | |
| Earnest money deposit | | | $419,404 | $419,404 |
| Real estate tax proration | $95,066 | | | |
| Rent proration | | $628,186 | $628,186 | |
| Security deposits assumed | $298,339 | | | $298,339 |
| Prepaid rents | | | $384,897 | |
| Owner's title policy premium | $632,073 | $632,073 | | |
| Lender's title policy premium | | | $721,459 | $721,459 |
| Escrow fee | $216,025 | | | |
| Recording fees | | $454,753 | $454,753 | |
| Transfer tax | $356,216 | | | $356,216 |
| Survey | | | $163,643 | |
| Legal fees - Buyer | $350,627 | $350,627 | | |
| Legal fees - Seller | | | $483,854 | $483,854 |
| Broker commission | $619,930 | | | |
| Loan origination fee | | $526,487 | $526,487 | |
| Lender legal | $173,853 | | | $173,853 |
| Appraisal fee | | | $153,463 | |
| Environmental report | $222,348 | $222,348 | | |
| Property condition report | | | $95,488 | $95,488 |
| Tax escrow deposit | $433,050 | | | |
| Insurance escrow deposit | | $106,554 | $106,554 | |
| Replacement reserve deposit | $712,543 | | | $712,543 |
| Utility deposits | | | $470,229 | |

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# Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Osprey Student Living Owner LLC

By: Kevin Hughes Title: Authorized Signatory Date: 02/04/2018

_____

Victor Evans

By: Emily Lopez Title: Manager Date: 02/04/2018

## Exhibit A - Property

Osprey Student Living, 4590 Pioneer Boulevard, Salt Lake City, UT 39469. Parcel containing approximately 24.48 acres, together with all improvements thereon.

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